EQUITY RESEARCH · COMPANY DEEP DIVE

Apple Inc. (AAPL.US)

Technology · Consumer Electronics

Large Cap (>$200B) · Report Date: October 12, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-10-12

UNDERWEIGHT

Composite · Valuation: SELL

Target $281.33 · -17.5% upside

Price $340.97

INVESTMENT HIGHLIGHTS

- **SELL** — blended target $281.33 (-17.5% vs $340.97); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT $281.33	45%
FSA	Weak	Health -0.30 · Weak	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.65 · 12m +40%	15%
Composite	UNDERWEIGHT	Score -0.21 · 50% confluence	—

Valuation anchor: -17% upside vs target; valuation rich but trend improving — wait for confirmation.

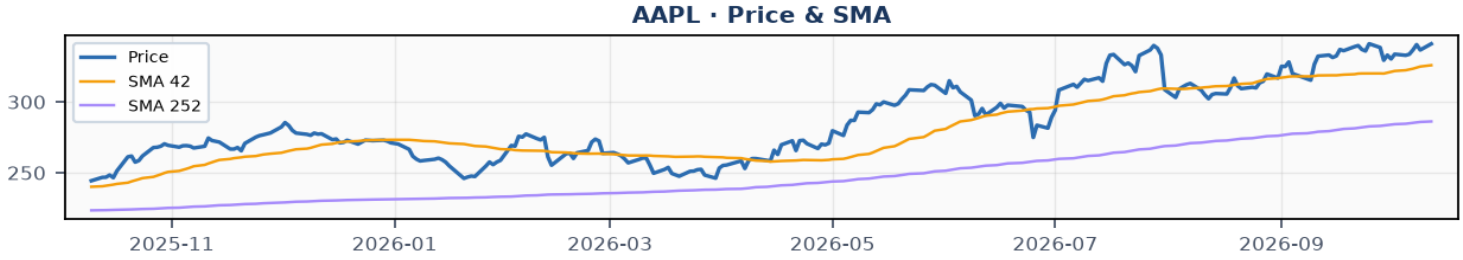
INVESTMENT THESIS / EXECUTIVE SUMMARY

Apple Inc. (AAPL) — Technology. Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a... **SELL** rating; blended target $281.33. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$4.98T	Shares Out.	14594.2M
52-Week Range	$243.42 – $345.34	P/E (TTM)	39.1x
P/B	46.3x	Beta	1.07
Avg Volume	45.27M	Analyst Rec.	Buy
Revenue (TTM)	$466.82B	Rev Growth	+16.4%
Op. Margin	32.6%	FCF (TTM)	$98.77B
Gross Margin	48.7%	ROE	1.5%
EV/EBITDA	29.4x	Debt/Equity	78.4%
EPS (TTM)	$8.72	Div Yield	32.0%

PRICE TREND · SMA 42 / 252



Page 2 of 2 · Apple Inc. (AAPL) · Financials · Valuation · Peers · Q3 FY2025 · 2026-10-12

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	391,035	416,161	484,411	543,655	594,275
Revenue Growth (%)	N/A	6.4%	16.4%	12.2%	9.3%
Net Income ($M)	93,736	112,010	130,380	146,325	159,949
Gross Margin (%)	46.2%	46.9%	48.7%	48.7%	48.7%
Net Margin (%)	24.0%	26.9%	26.9%	26.9%	26.9%
EPS ($)	6.42	7.67	8.93	10.03	10.96
P/E (x)	53.09	44.43	38.17	34.01	31.11

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$325.87	Short-term trend	12m Momentum	+39.5%	
SMA (252d)	$286.21	Long-term trend	3m Momentum	+4.2%	
RSI (14d)	51.3	Momentum oscillator	Ann. Volatility	28.1%	
Trend	Bullish		Sharpe Ratio	0.57	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-33.4%	
Death Cross (20d)	No		Rel. Strength vs SPY	+56.9%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=$325.87, SMA252=$286.21	Quant Score	+0.65	POSITIVE
			SMA Backtest (ann.)	11.4%	B&H; 26.1%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$113.44	-66.7%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or d…
Comps — Blended	$269.64	-20.9%	80%	Included in blend
Analyst consensus	$328.09	-3.8%	20%	Included in blend
Blended target	$281.33	-17.5%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
9.88%	1.50%	8.20%	$1.66T	$113.44	-66.7%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MSFT	Microsoft Corporation	$4.02T	30.1x	20.7x	40.3%	+17.7%
GOOGL	Alphabet Inc.	$4.31T	17.7x	24.2x	54.8%	+24.2%
HPQ	HP Inc.	$26.94B	11.4x	7.2x	4.1%	+12.5%
DELL	Dell Technologies Inc.	$366.71B	33.5x	22.4x	7.5%	+57.7%
AAPL*	Apple Inc.	$4.98T	39.1x	29.4x	27.6%	+16.4%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (16.4% YoY); High operating leverage (32.6% margin); Sector: Technology | Industry: Consumer Electronics · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.